Vitamin Well / Vital Bidco: reject pending downside protection

Project 09. Public-information underwriting, 27 October 2026. SEKm unless stated. Full-year pro forma scenarios, not audited forecasts or contractual covenant tests.

Decision

Reject an unconditional commitment at the modelled SEK20,900m term-loan equivalent. Base entry capacity is SEK21,422m under assumed 5.5x leverage and 2.0x interest-cover limits, leaving only 2.4% EBITDA headroom. Downside leverage peaks at 7.52x and cover falls to 1.44x. Liquidity remains available, but it does not repair the earnings risk.

This is a request for stronger protection and evidence, not a claim the borrower has breached its loan agreement. Re-underwrite with verified debt, cash, addbacks, pricing, security, ranking and covenant definitions before approval.

Borrower and transaction

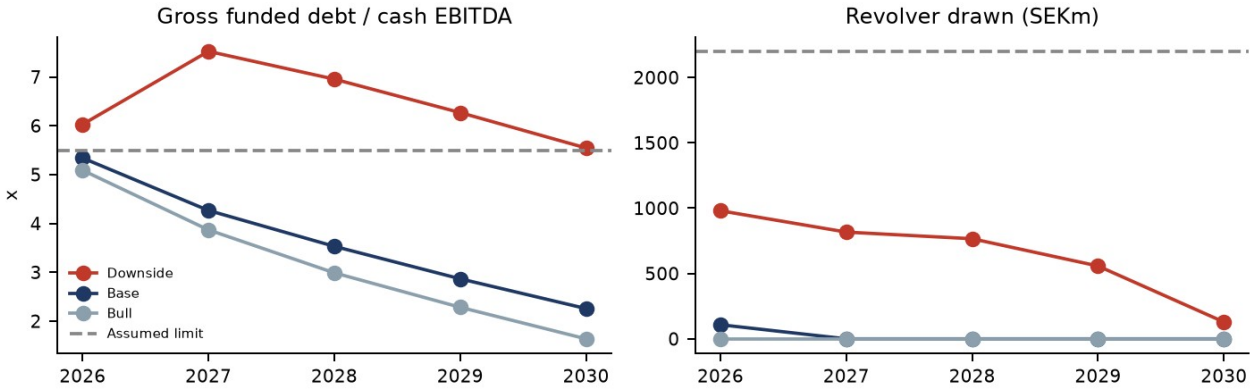
Cinven's July announcement identifies EMPWR as a manufacturing partner being acquired by Vitamin Well. Transaction consideration was undisclosed and approvals were pending. That brings capacity and integration risk into a brand-led borrower. S&P's September rating action reports EUR1.9bn-equivalent term debt due in 2033 and a EUR200m revolver for refinancing and the planned acquisition. The published issuer rating is B+; new pricing is unverified. Use the newer structure; a legacy lender's disclosed S+450bp loan is not evidence of the new loan's pricing.

Cash underwriting

Translate both facilities at an assumed 11.0 SEK/EUR. Starting adjusted EBITDA is the midpoint of the agency's SEK4.0-4.2bn forecast, not an audited result. Revenue is inferred from a 26% margin proxy. Deduct a 5% cash-EBITDA reserve, tax, capex, working capital and one-off transaction costs. Base loan interest is assumed at 7%; downside adds 200bp. Forecasts include RCF fees, draws, repayments and a cash sweep, without a funding plug.

Case	2026 FCF	Peak RCF	Peak leverage	Minimum cover	2030 leverage
Downside	-971	980	7.52x	1.44x	5.54x
Base	-99	108	5.34x	2.64x	2.26x
Bull	224	0	5.09x	2.95x	1.64x

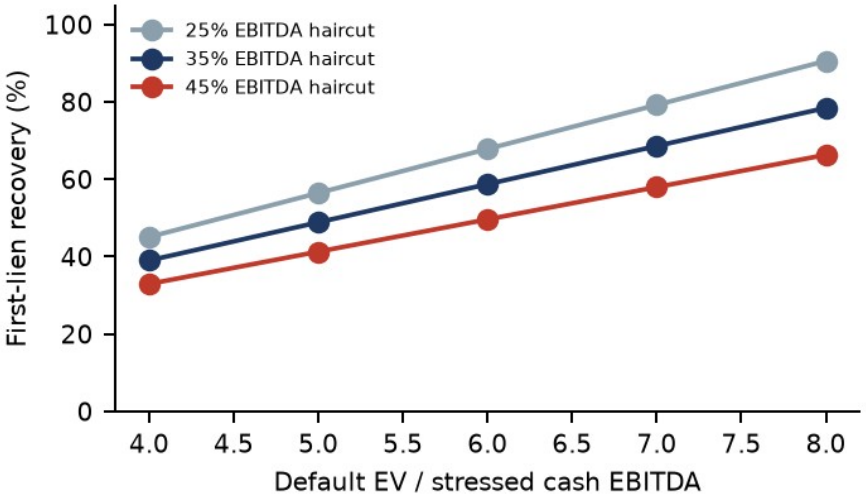
The base draws SEK108m and repays it in 2027. The downside draws SEK980m, against SEK2,200m capacity. Minimum downside cash plus undrawn RCF is SEK1,520m. No case exhausts the facility in this annual model. No conclusion follows about intra-year liquidity or lender access conditions.



Capacity and recovery

Capacity is the lower of cash EBITDA times the assumed leverage ceiling and debt supported at the assumed interest-cover floor, after commitment fees. At entry the leverage limit binds. This is a gross funded-debt screen; it excludes unverified leases, other borrowings and rating-agency adjustments. It is not maximum safe acquisition leverage.

Default recovery is 58.8%. Apply a 35% haircut to starting cash EBITDA, 6x enterprise value, 10% enforcement costs and SEK100m priority claims. Fully draw the revolver and share the remaining pool pari passu with the term loan. First-lien claims total SEK23,100m; the available pool is SEK13,571m. Legal priorities, security perimeter and the multiple are unverified. The workbook varies haircuts and multiples; this is a stress, not a prediction or a reproduction of a rating recovery estimate.



Monitoring and unresolved evidence

Quarterly: reconcile reported cash EBITDA and addbacks; test actual covenant definitions; track liquidity and RCF availability; monitor capex commitments, customer demand and integration. The model's 5.5x and 2.0x limits trigger underwriting review only. Forecast output is a template for monitoring, not a record of actual monitoring meetings or borrower reporting.

There is no audited group balance sheet or disclosed purchase-price bridge in this model. Opening cash, FX, rates, fees and amortisation are assumptions. Cash and debt rollforwards reconcile separately. New-draw interest begins next period, so the annual convention understates interest when facilities are drawn during a year. FX is held constant and the currency mix is not modelled.

The model's SEK-99m 2026 FCF is less negative than the agency's approximately SEK700-800m outflow forecast. Public data do not provide a complete reconciliation. Do not calibrate missing costs to close that gap or present the model as a reproduction of agency FOCF. The refinancing/EMPWR perimeter is pro forma; this is not a remaining-2026 cash forecast from today's date.

Sources: S&P Global Ratings, 7 September 2026 (agency forecasts and reported facilities); Cinven, 2 July 2026 (EMPWR announcement); Cinven, 6 August 2024 (ownership); Blue Owl 30 September 2025 10-Q (legacy loan only). Exact URLs and evidence limits are in assumptions.py and the workbook Sources sheet. Not investment advice.